

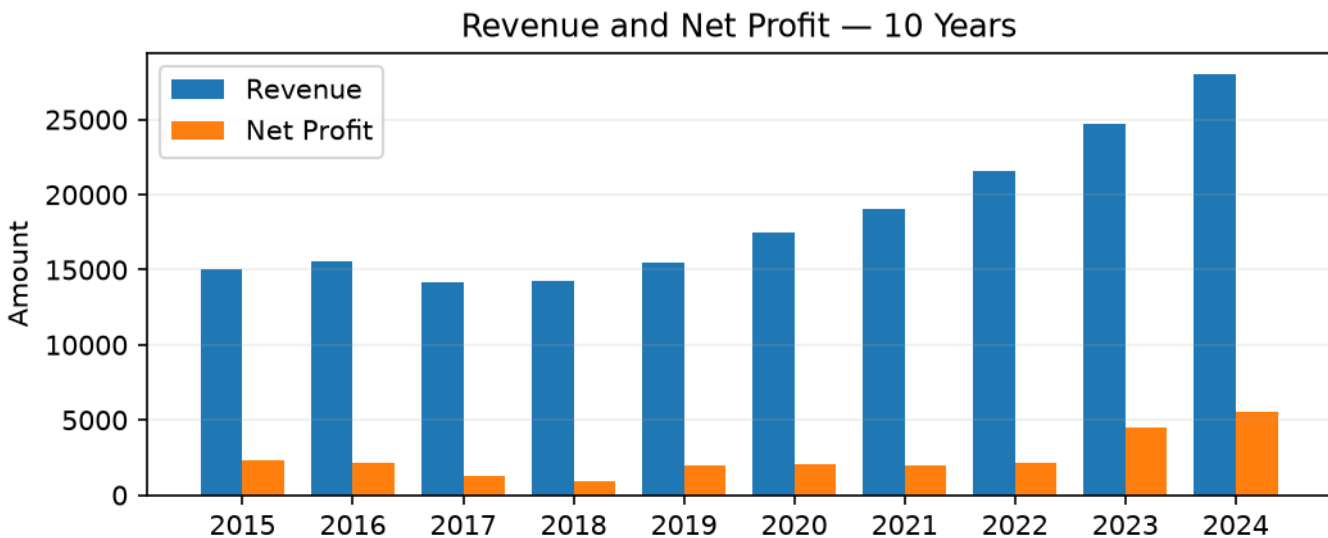
Dr Reddys Laboratories Ltd

DRREDDY

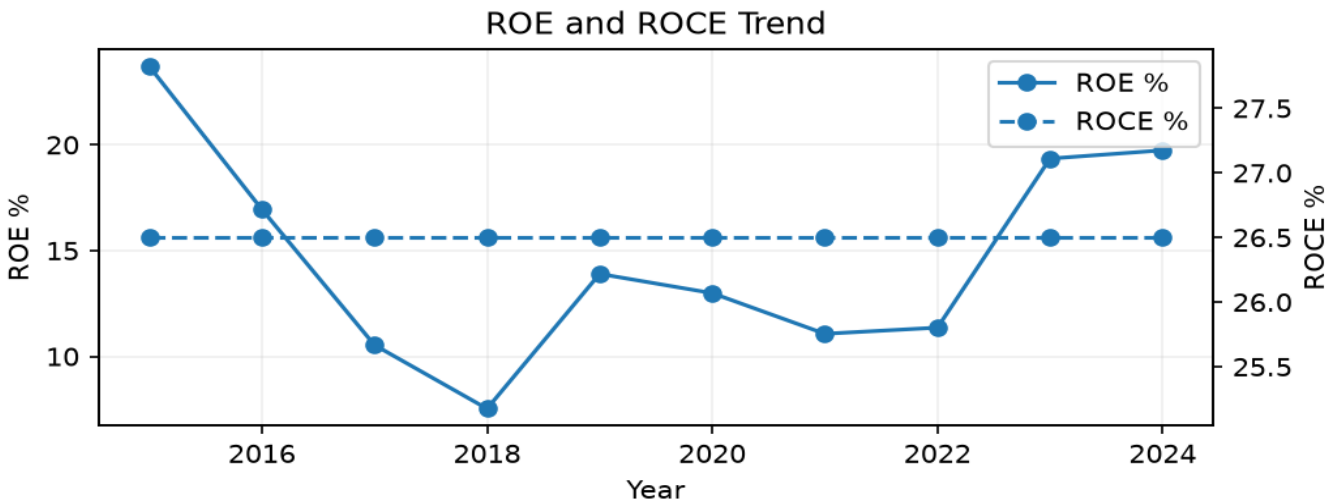
Sector: Healthcare

ROE 19.74%	ROCE 26.50%	Net Profit Margin 19.91%
D/E 0.07	Revenue CAGR 5Y 12.64%	FCF 509.00 Cr

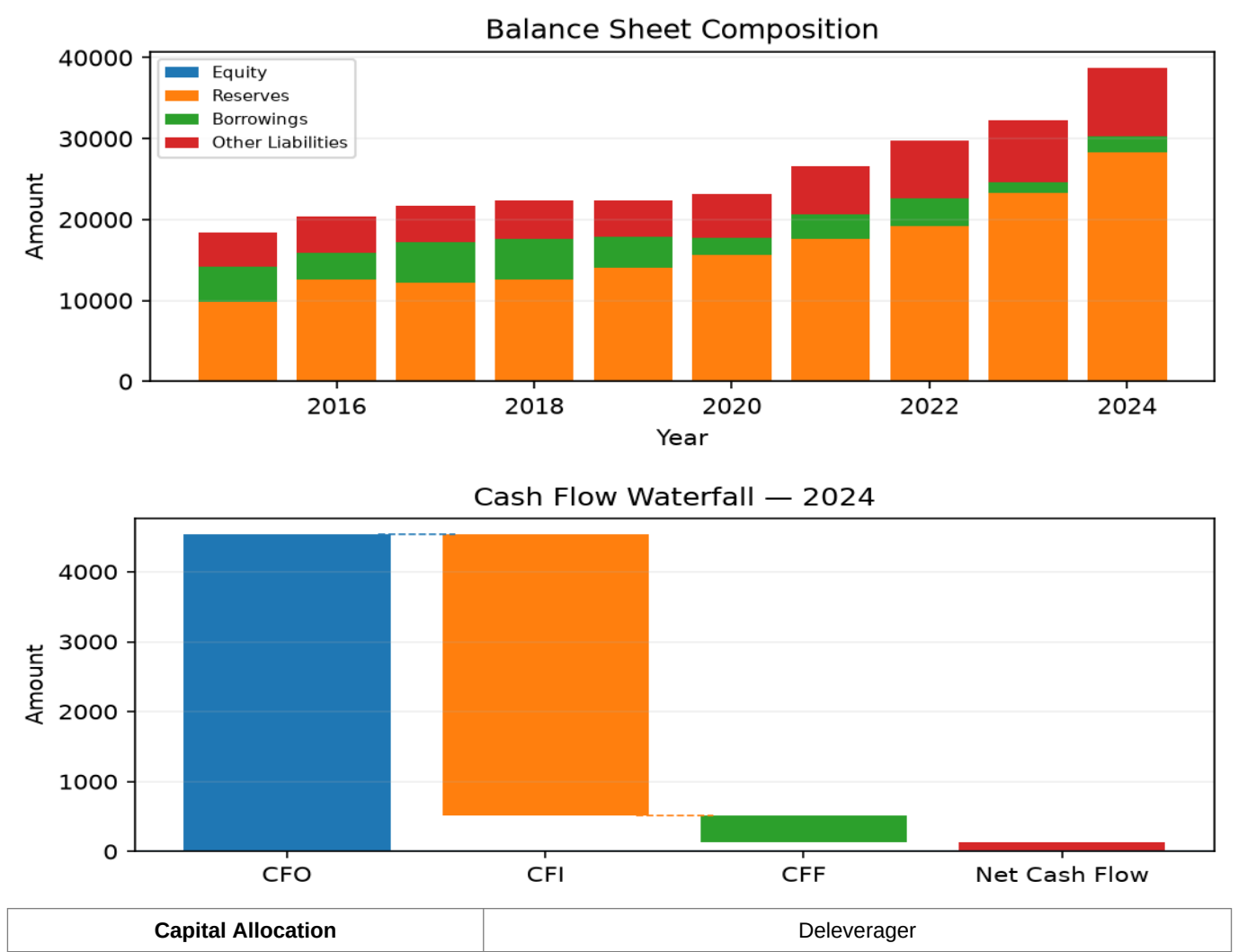
Revenue & Profit Trend



Return Trend



Financial Structure & Cash Flow



Pros

- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (confidence 95%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (confidence 95%)
- Strong free cash flow generation over 5 years signals healthy business fundamentals (confidence 90%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (confidence 89%)
- Operating profit margin above 25% indicates strong pricing power and cost discipline (confidence 88%)
- Return on equity improving for 3 consecutive years shows strengthening business quality (confidence 85%)

Cons

- No major negative financial signal crossed the defined rule thresholds; continued monitoring is recommended. (confidence 61%)